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FEDERAL MARITIME COMMISSION

WCG GROUP, LLC, dba Aitoh Co., Claimant, v. CHRIS PHILLIPS, and individual, and PAUL KNOTT, and individual, Respondents.	REPLY TO CLAIMANT’S RESPONSE TO THE MAY 17, 2024 ORDER TO PROVIDE ADDITIONAL DOCUMENTS AND INFORMATION Docket No. 1999(F)
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Pursuant to 46 C.F.R. § 502 *et. seq.*, including § 502.314, and the May 17, 2024 Order to Provide Additional Documents and Information (“May 17th Order”), Respondent Paul Knott (“Mr. Knott”) through counsel, hereby files this Reply to Claimant’s Response to the May 17th Order.

INTRODUCTION

Claimant’s Response to the Order (“Response”) provides further support for arguments raised in Mr. Knott’s December 26, 2023 Memoranda in Support of Defenses. First, Claimants have affirmed that Mr. Knott nor InXpress, LLC (“InXpress”) are common carriers nor ocean transportation intermediaries under the 1984 Shipping Act (“Act”). Consequently, the causes of action or claims for violation of the Act raised in the Claimant’s Complaint, including 46 U.S.C. §§ 41102 and 41104 (related to common carriers), and 41103 (related to both common carrier or ocean freight forwarder) fail to state a claim for relief that can be granted and must be dismissed.

Second, Claimant recognizes that there is an agreement related to the transportation of the cargo with InXpress. As such, the agreement should control, which expressly states, among other things, that “[Aitoh] understands that any service failures, late freight deliveries or damage claims are handled directly by the carrier . . . [and that] InXpress will not be responsible for goods or materials damaged during shipment.” Because an agreement exists and provides for the obligations and duties of the Claimant, subject matter jurisdiction cannot remain with the Commission.

In addition to these considerations, the Response provides an itemization for certain damages that lack any support in fact and law. For instance, there is no support or grounds for Claimant to claim damages for replacement shipment costs, additional 10% of freight and goods covered by any insurance premium, nor the international ACH fees.

ARGUMENT

I. CLAMANT HAS ADMITTED THAT NEITHER RESPONDENT MR. KNOTT NOR INXPRESS ARE CARRIERS OR OCEAN TRANSPORTATION INTERMEDIARIES WHICH IS A NECESSARY PREDICATE UNDER THE ACT

Throughout the Response, the Claimant concludes that neither Mr. Knott nor InXpress are common carriers. *See* Response at CA1 (“We were aware that InXpress was not the carrier” and “[a]t the time of the engagement, we didn’t know who Paul Knott was and only in 2023, in order to solve this issue, Aitoh contacted him as CEO of InXpress, LLC”). The Claimant also stated that it “does not consider the Respondents personally liable for our losses, but, as agent/representative/owner/manager/officer of their respective companies” *See* Response at CA2. The Claimant, however, now states that “Mr. Chris Phillips (InXpress NY), act[ed] as an Ocean Transportation Intermediary between the carrier, the shipper (Bluecat Paper, an Indian Company) and the consignee (Aitoh)” *See* Response at CA1. (b).

Based on these admissions, additional grounds¹ exist to dismiss Claimant’s claims that Respondent Mr. Knott (and though an unnamed party, by extension, InXpress) violated provisions of the Act. For instance, to bring a claim under 46 U.S.C. § 41102(c), raised in the Complaint, the Claimant must allege that the respondent is a “common carrier, marine terminal operator, or ocean transportation intermediary”. *See* 46 U.S.C. § 41102(c). Here, no evidence has been produced to support this allegation and Claimant has admitted that neither Mr. Knott nor InXpress qualify as carriers.

The withdrawn allegation that Mr. Knott is a “carrier” similarly erases any cognizable claim under 46 U.S.C. § 41104(a), in relevant part, which provides that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of . . . (E) adjustment and settlement of claims” 46 U.S.C. § 41104(a)(4)(E). Because Mr. Knott is not a carrier, he cannot be liable for such claim raised in the Complaint nor can Claimant aver that Mr. Knott (and InXpress) have violated the Act related to any alleged service pursuant to a tariff dealing with the “adjustment and settlement of claims.”

The absence of any allegations that Mr. Knott is a carrier likewise blunts Claimant’s claim that Mr. Knott violated 46 U.S.C. § 41104(a)(12). This Section provides that common carriers shall not “knowingly and willfully enter into a service contract with an ocean transportation intermediary that does not have a tariff as required by section 40501 of this title and a bond, insurance, or other surety as required by section 40902 of this title, or with an affiliate of such an ocean transportation intermediary” *See* 46 U.S.C. § 41104(a)(12). Even if Claimant’s still

¹ *See also* Respondent Mr. Knott’s previously filed December 26, 2023 Memoranda in Support of Defenses.

alleged that Mr. Knott was a carrier (they do not), absent from the Complaint and the Response are any allegations that Mr. Knott (and InXpress) did anything “knowingly” or “willfully”.

Similar reasons support dismissal of Claimant’s claim of violating 46 U.S.C. § 41103(a), which provides that “[a] common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, may not knowingly disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information—(1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.” *See* 46 U.S.C. § 41103(a)(1)-(2). Again, there are no longer any allegations that Mr. Knott or InXpress qualify as any of these entities.

II. LACK OF SUBJECT MATTER JURISDICTION²

Because there is a contract governing the obligations and duties of the Claimant, subject matter jurisdiction does not exist in this case. In their Response, the Claimant stated that there was an “agreement for the transportation of our cargo . . . with InXpress NY and implicitly with InXpress Americas.” *See* Response at CA5. Claimant has expressly referred to the Account Application and Payment Authorization form (“Application”) that was signed by Paul S. Carpenter-Van Pelt. *See* Exhibit 1 in the Response. Relevant to the Application are certain terms and conditions stating that

[Aitoh] understands that it is ordering services from INXpress as a third-party, bill-to provide and not a transport services company, that InXpress is not a carrier or that InXpress represents any specific carrier [Aitoh] acknowledges that they have read and will abide by, and be subject to, the Terms and Conditions of InXpress, which are available on [InXpress’s] website at www.us.inxpress.com and of each carrier used, which are available on their websites and/or waybills or bills of lading.

² *See* also arguments raised in Respondent Mr. Knott’s previously filed December 26, 2023 Memoranda in Support of Defenses.

[Aitoh] understands that any service failures, late freight deliveries or damage claims are handled directly by the carrier InXpress will not be responsible for goods or materials damaged during shipment.

See Exhibit 1 of the Response. The Terms and Conditions, referenced in the Application, further provide that

You agree that InXpress acts solely as a Third Party “bill to” and bears no express or implied liability for Shipments. You agree that InXpress has not expressed or implied that InXpress is a Carrier, or represents a specific Carrier.

You agree that any service failure, late freight, loss or damage claim is handled directly by the Carrier that transported the Shipment and that payment to InXpress is not subject to nor conditional upon a Carrier’s settlement or refusal to pay a claim. You acknowledge and agree that InXpress is a support and technology company and is not a transportation company and that only the Carrier can be held liable for service claims.

See Exhibit 2 in the Response. Because the Claimant’s claim is in the nature of a contract dispute, not one under the Act, the Complaint should be dismissed under Rule 12(b)(1) of the Federal Rules of Civil Procedure for lack of subject matter jurisdiction.

III. CLAIMANTS ARE NOT ENTITLED TO DOUBLE RECOVERY

In their Response, the Claimants claim without any support that they are entitled to damages for replacement shipment costs in the amount of \$6,807.00, which is already itemized in their claim against the “Carrier”. *See* Response at CA3. Claimants fail to point to any provision under the Act for this request. There is also no support for the alleged damages in the amount of \$837.69 (additional 10% of freight and goods covered by the insurance premium) and the \$65.00 International ACH fees for payment of BlueCat Invoice. Furthermore, there certainly is no contractual provision that provides that Claimant is entitled to any damages related to the loss of cargo as the Application provides that “service failures, late freight deliveries or damage claims are handled directly by the carrier” *See* Section II above.

DATED this 28th of June, 2024

KIRTON MCCONKIE

/s/Ryan C. Cadwallader

Ryan C. Cadwallader

Attorney for Respondent Paul Knott

CERTIFICATE OF SERVICE

I hereby certify that I have this 28th day of June, 2024 served the foregoing document upon the below parties of record as follows:

WCG Group, LLC dba Aitoh Co. 2720 Mountain Pine Rd. Hot Springs, AK 71913 carlo@aitoh.com Claimant	(Email)
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Chris Phillips 16 Robin Ln Wappingers Falls, NY 12590 Chris.phillips@inxpress.com Respondent	(Email)
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/s/ Ryan C. Cadwallader